



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Tim and Emma Walpole-Walsh

Of

384 Wattletree Road
MALVERN EAST 3145

Prepared on:

17th June 2022

By your Adviser:

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

17/06/2022

Tim and Emma Walpole-Walsh
384 Wattletree Road
MALVERN EAST 3145

Dear Tim and Emma,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- | | |
|--------------------------------|--------------------------------------|
| ▪ Trust or business structures | ▪ Direct share or property purchases |
| ▪ Taxation | ▪ Legal matters |
| ▪ General insurance | |

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Superannuation contribution strategies
- Superannuation structure
- Structure of inheritance proceeds
- Property / Debt structure
- Overall retirement planning

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Tim and Emma, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Assess the appropriate structure for your impending inheritance proceeds.
- Explore ways in which to maximise your retirement nest egg as you move into the next phase of your working life.
- Consider appropriate superannuation contribution strategies.
- Assess the implications of maintaining or selling your current investment property.
- Determine your projected retirement capital.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Mrs
First Name	Tim	Emma
Surname	Walpole-Walsh	Walpole-Walsh
Gender	M	F
Date of Birth	12/04/1957	10/10/1964
Age Last Birthday	65	57
Marital Status	Married	Married

Estate Planning

	Tim	Emma
Do you have a Current Will?	Yes	Yes
Do you have Current Powers of Attorney?	In progress	In progress
Do you have a Testamentary Trust?	In progress	In progress

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
East Malvern Residential Home	\$3,020,000
Total Lifestyle Assets	\$3,020,000

Investment Assets	Value
Prahran Investment Property	\$400,000
Impending Inheritance Proceeds (estimated)	\$350,000
Total Investment Assets	\$750,000

Superannuation Assets	
Tim	
Vic Super Personal Saver (Accumulation)	\$75,638
Vic Super Flexible Income (Pension)	\$81,290
Emma	
Vic Super Personal Saver	\$145,290
Total Superannuation Assets	\$302,218

Total ASSETS	\$4,072,218
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LIABILITIES

Investment Property Loan 1 (secured by residential property)	\$101,778
Investment Property Loan 2 (secured by investment property)	\$236,176
Total Liabilities	\$337,954

NET WORTH	\$3,734,264
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Notes: As the above information has been used in preparing our recommendations, please advise us of any errors or omissions. The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your responses to the Risk Profile Questionnaire, it was determined that **Tim** has a **Growth** investor risk profile, and **Emma** also has a **Growth** investor risk profile.

- A Growth investor typically places a greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- A Growth portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.
- A 'Growth' investor will typically diversify their investment in the following manner:

Australian Shares	43%
International Shares	25%
Fixed Interest	13%
Property	17%
Cash	2%

However, based on further discussions and your stage of life we agreed that a more '**Balanced**' approach is appropriate.

- A Balanced investor places greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- Their portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A Balanced investor will typically diversify their investment in the following manner:

Australian Shares	34%
International Shares	20%
Fixed Interest	26%
Property	14%
Cash	6%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property). By covering all primary investment markets, the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2021-22

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$45,000	19c for each \$1 over \$18,200
\$45,001 – \$120,000	\$5,092 plus 32.5c for each \$1 over \$45,000
\$120,001 – \$180,000	\$29,467 plus 37c for each \$1 over \$120,000
\$180,001 and over	\$51,667 plus 45c for each \$1 over \$180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase	-	Tax rate = 15%
Superannuation in 'pre-retirement pension' phase	-	Tax rate = 15%
Superannuation in 'allocated pension' phase	-	Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free*
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free*

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74*	Age 75 and over
From 1 July 2012	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2013	\$25,000	\$25,000	\$35,000	\$35,000	SGC only
From 1 July 2014	\$30,000	\$35,000	\$35,000	\$35,000	SGC only
From 1 July 2017	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2021	\$27,500	\$27,500	\$27,500	\$27,500	SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 67	Age 67 to 74	Age 75 and over
From 1 July 2007	\$150,000 p.a.	May bring forward two years of contributions to make a \$450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	\$180,000 p.a.	May bring forward two years of contributions to make a \$540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	\$100,000 p.a.	May bring forward two years of contributions to make a \$300,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2021	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2022	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year		Cannot contribute

Superannuation – Pension Phase and Retirement Income Streams

Tim, you have reached preservation age and have converted a portion of your super monies into Pension Phase and thus drawing down an income stream. Emma, you are currently 57 and have not reached preservation age.

From age 60, all income received from this income stream is tax free.

Tim, all income earned from the amount funding the income stream is also tax free, as opposed to being taxed at 15% when in accumulation phase.

Income that is taxed within the super fund includes distributions and any capital gains realised via the selling of units. It is therefore acceptable to conclude that tax on earnings is not simply 15% of the return rate of your fund each year, but an amount less than this based on what has occurred in the fund.

Recommendations:

- Tim, given you are planning to work for the next 5 years and have no need for the additional income stream from your Vic Super Flexible Income (Pension Fund), it is recommended that you convert this account back to accumulation phase and consolidate with your Vic Super Accumulation account.
- Emma, upon reaching preservation age (60), consider moving your superannuation from 'accumulation' to 'pension' phase, only if you do not have the ability to make the maximum personal concessional contributions to superannuation each year.

Reasons:

- Tim, by implementing this structure you will no longer be eroding your superannuation capital.
- Superannuation is the most tax effective environment.

For Consideration:

- The minimum income stream that must be drawn from any Allocated Pension is:

Age	Under 65	65-74	75-79	80-84	85-89	90-94	95+
Reduced percentage factor (2021-22 and 2022-23 financial years)	2%	2.5%	3%	3.5%	4.5%	5.5%	7%
Standard percentage (other years)	4%	5%	6%	7%	9%	11%	14%

Superannuation Review

Tim and Emma, you currently have the following approximate superannuation balances:

Tim

- Vic Super – ‘Personal Saver’ (Accumulation) \$ 75,638
- Vic Super – ‘Flexible Income’ (Pension) \$ 81,290

Emma

- Vic Super – ‘Personal Saver’ (Accumulation) \$145,290

TOTAL **\$302,218**

Recommendations:

- You effectively have two options in terms of how your existing superannuation monies are structured:
 - Continue to hold these monies in your existing Vic Super funds.
 - Roll across these superannuation monies to a more actively managed wholesale ‘master trust’ superannuation accumulation platform.

Investments Within Superannuation

Vic Super:

Tim and Emma, your superannuation funds are currently with Vic Super invested in the ‘Growth’ option and are as follows.

The ‘target’ asset allocation of the Vic Super Personal Saver ‘Growth’ option is:

Asset Class	% of Portfolio
Australian Shares	21.50%
International Shares	35.00%
Property	7.00%
Fixed Interest	10.00%
Cash	5.50%
Infrastructure	9.00%
Private Equity	6.00%
Credit	5.00%
	100%

The ‘target’ asset allocation of the Vic Super Flexible Income ‘Growth’ option is:

Asset Class	% of Portfolio
Australian Shares	24.50%
International Shares	32.00%
Property	7.00%
Fixed Interest	10.00%
Cash	5.50%
Infrastructure	9.00%
Private Equity	6.00%
Credit	5.00
	100%

Vic Super ‘Growth’ Historical Performance at 30/04/22

	1 year	3 years (p.a.)	5 years (p.a.)
Vic Super Growth Option	4.02%	7.07%	7.54%

Vic Super ‘Balanced’ Historical Performance at 30/04/22

	1 year	3 years (p.a.)	5 years (p.a.)
Vic Super Balanced Option	2.90%	5.14%	6.02%

Option 1 – Maintain Existing Vic Super superannuation funds

Upside:

- The overall fee structure of Industry Funds are traditionally relatively low when compared to a Master Trust platform.

Downside:

- The investment options available are very limited
- The historical average performance associated with your existing fund is lower than alternative options.

Option 2 – Master Trust Platform (Colonial First State)

Your respective investments in the Colonial First State platform would have a specifically modelled portfolio. The specific underlying funds that make up your individual portfolios would be:

Colonial First State Wholesale Personal Super – ‘Balanced’ portfolio

	% of portfolio
Pendal Wholesale Australian Share	12.00%
Colonial First State Wholesale Index Australian Share	11.00%
First Sentier Wholesale Australian Small Companies	11.0%
CFS W'sale Index Global Share	20.00%
Colonial First State Wholesale Index Property Securities	7.00%
Pendal Wholesale Property Investment	7.00%
Perpetual Wholesale Diversified Income	26.00%
First Sentier Wholesale Strategic Cash	6.00%
	100.00%

Performance of the alternative Colonial First State Balanced Portfolio at 30/04/22

	% of portfolio	1 year	3 years (p.a.)	5 years (p.a.)
Pendal Wholesale Australian Share	12.00%	8.46%	9.78%	9.10%
Colonial First State Wholesale Index Australian Share	11.00%	10.08%	9.29%	8.69%
First Sentier Wholesale Australian Small Companies	11.0%	7.16%	14.08%	13.74%
CFS W'sale Index Global Share	20.00%	4.24%	9.01%	10.13%
Colonial First State Wholesale Index Property Securities	7.00%	13.32%	5.64%	6.43%
Pendal Wholesale Property Investment	7.00%	12.61%	7.21%	7.75%
Perpetual Wholesale Diversified Income	26.00%	-0.84%	1.36%	1.78%
First Sentier Wholesale Strategic Cash	6.00%	-0.15%	0.34%	0.84%
	100.00%	5.35%	6.82%	7.09%

Performance of a Colonial First State Growth Portfolio at 30/04/22 (to be compared with Vic Super):

	% of portfolio	1 year	3 years (p.a.)	5 years (p.a.)
Pendal Wholesale Australian Share	14.00%	8.46%	9.78%	9.10%
Colonial First State Wholesale Index Australian Share	14.00%	10.08%	9.29%	8.69%
First Sentier Wholesale Australian Small Companies	15.0%	7.16%	14.08%	13.74%
CFS W'sale Index Global Share	25.00%	4.24%	9.01%	10.13%
Colonial First State Wholesale Index Property Securities	8.00%	13.32%	5.64%	6.43%
Pendal Wholesale Property Investment	9.00%	12.61%	7.21%	7.75%
Perpetual Wholesale Diversified Income	13.00%	-0.84%	1.36%	1.78%
First Sentier Wholesale Strategic Cash	2.00%	-0.15%	0.34%	0.84%
	100.00%	6.11%	7.86%	8.08%

Benefits:

- The alternative portfolios have outperformed your current funds.
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Replacement of an Existing Product

Tim

Type of Fee or Cost	Vic Super – Personal Saver \$75,638	Vic Super – Flexible Income \$81,290	CFS Wholesale Super Fund \$156,928
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	0.15% + \$52 p.a.	0.20% + \$52 p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	Nil	\$750 p.a.
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.96% p.a.	0.91% p.a.	0.73% p.a.
Annual average cost - Total \$156,928 investment	\$1,846 p.a.		\$1,895 p.a.

Outcomes Post Implementation - Tim:

- Tim, the sum of your total ongoing management and administration fees will **increase** by approximately **\$49 PER ANNUM**.
- The Colonial First State Wholesale ‘**Balanced**’ portfolio has **outperformed** your current fund over the past 5 years by an average of **1.07% p.a.** Tim, based on your current balance, this equates to **\$1,679 p.a. (\$8,396 over a 5-year period)**.

Emma

Type of Fee or Cost	Vic Super – Personal Saver \$145,290	Colonial Wholesale Super Fund \$145,290
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	0.15% + \$52 p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	\$750 p.a.
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.96% p.a.	0.73% p.a.
Annual average cost - Total \$145,290 investment	\$1,613 p.a.	\$1,810 p.a.

Outcomes Post Implementation - Emma:

- Marie, the sum of your total ongoing management and administration fees will **increase** by approximately **\$197 PER ANNUM**.
- The Colonial First State Wholesale ‘**Balanced**’ portfolio has outperformed your current fund over the past 5 years by an average of **1.07% p.a.** Emma, based on your current balance this equates to **\$1,555 p.a. (\$7,773 over a 5-year period)**.

Investment Recommendation

Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of \$5,000 (\$1,500 for super) is required to establish an account in FirstChoice Investments. A \$1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is \$100 per month.

Reasons and Benefits

The major features of the Colonial FirstChoice Investments are as follows:

Sector Specific Diversification

A strong range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

Simplicity

Consolidated reporting from Colonial First State.

Ease of Management

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

Highly competitive and simple to understand fee structure

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one off fee for upfront costs.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
 - **A \$750 p.a. Adviser Service fee will apply.**
- No switching fees or exit fees apply to this investment.

Colonial FirstChoice Management Fee

Colonial FirstChoice charges a Management Expense Ratio to cover their administration costs and the associated costs of managing your funds. Based on your proposed portfolio value, we have provided an estimation of the costs you will pay.

CFS FirstChoice Wholesale Personal Super - Tim	MER %	Amount invested ^① \$	Estimated fee \$
Pendal Wholesale Australian Share	1.04%	\$18,831	\$196
Colonial First State Wholesale Index Australian Share	0.34%	\$17,262	\$59
First Sentier Wholesale Australian Small Companies	1.15%	\$17,262	\$199
CFS W'sale Index Global Share	0.35%	\$31,386	\$110
Colonial First State Wholesale Index Property Securities	0.34%	\$10,985	\$37
Pendal Wholesale Property Investment	1.09%	\$10,985	\$120
Perpetual Wholesale Diversified Income	0.95%	\$40,801	\$388
First Sentier Wholesale Strategic Cash	0.44%	\$9,416	\$41
Total ongoing fees ^①	0.73%	\$156,928	\$1,149

CFS FirstChoice Wholesale Personal Super - Emma	MER %	Amount invested ^① \$	Estimated fee \$
Pendal Wholesale Australian Share	1.04%	\$17,435	\$181
Colonial First State Wholesale Index Australian Share	0.34%	\$15,982	\$54
First Sentier Wholesale Australian Small Companies	1.15%	\$15,982	\$184
CFS W'sale Index Global Share	0.35%	\$29,058	\$102
Colonial First State Wholesale Index Property Securities	0.34%	\$10,170	\$35
Pendal Wholesale Property Investment	1.09%	\$10,170	\$111
Perpetual Wholesale Diversified Income	0.95%	\$37,775	\$359
First Sentier Wholesale Strategic Cash	0.44%	\$8,717	\$38
Total ongoing fees ^①	0.73%	\$145,290	\$1,064

- ① Colonial FirstChoice's Management Fee is calculated on the value of your total portfolio. As such we have used your proposed portfolio to estimate your annual ongoing fee.

Please note that there is an additional adviser service fee of \$750 p.a. that is paid by you.

Personal Insurances

The objective of having insurance cover over your life and your assets is to protect yourself and your family from financial distress in the event of death, illness or accident. Where such an event occurs, there is often considerable emotional distress. Financial planning aims to remove the financial distress at such a time.

There are two ways you can manage this type of risk:

- Self-insurance; or
- Transfer of the risk/insurance to an insurance company.

There are many instances where people effectively elect to self-insure through lack of planning. This means an event occurs which causes financial distress and people manage on what they have set aside. Other ways of self-insuring are by planning and setting aside funds for protection in such an event. The most common form is, however, to recognise the risk and evaluate how much protection is required and then transfer that risk to an insurance company.

Personal Insurance - Review Recommendation

Managing risk is an important part of the financial planning process in order to provide protection against possible future financial loss. Insurance is a simple precaution you can take to protect against the financial consequences of premature death, a medical crisis, total and permanent disablement or temporary disablement.

Existing Cover Amounts

Tim, you currently have the following insurance cover in place under your Vic Super fund

Vic Super (superannuation owned)

Life Insurance:	\$471,003
TPD:	\$235,502

Emma, you currently have the following insurance cover in place under your Vic Super fund

Vic Super (superannuation owned)

Life Insurance:	\$145,000
TPD:	\$145,000

A full analysis of your personal insurance requirements should be undertaken before any decision is made and action taken. Lakeside's Mathew Hennig will assist you with this analysis and we will subsequently provide recommendations accordingly.

Concessional Superannuation Contributions Carry Forward

Tim and Emma, the concessional superannuation contribution cap in previous years was \$25,000 per annum. In the 2021/22 financial year, this cap has increased to \$27,500 p.a.

Carry Forward Concessional Contributions:

- If you have a total superannuation balance below \$500,000 you can carry forward any unused concessional contributions cap amounts that accrue from 1 July 2018 for up to five financial years. This allows eligible members who do not use all of their concessional cap in a particular financial year, to carry forward their unused concessional cap amounts to future years.
- To be eligible to make catch-up concessional contributions in a year, you must meet the following conditions:
 - have a 'total superannuation balance' of less than \$500,000 as at 30 June at the end of the financial year immediately preceding the financial year in which the concessional contribution is to be made
 - have previously unused concessional contributions cap amounts that have accrued in one or more of the five financial years preceding the year in which the concessional contribution is made.
- **Tim**, the following concessional contributions have been made to your superannuation fund in recent years:

Financial Year	Tim	Total Allowable Contributions
2018/19	\$20,502	\$25,000
2019/20	\$24,490	\$25,000
2020/21	\$26,974	\$25,000
2021/22	\$23,166 (FYTD as at 18/05/22)	\$27,500
TOTAL	\$95,132	\$102,500

- Tim, you therefore have a total of **\$7,368** in concessional contributions available to you for the remainder of this financial year.

- **Emma**, the following concessional contributions have been made to your superannuation fund in recent years:

Financial Year	Emma	Total Allowable Contributions
2018/19	\$19,656	\$25,000
2019/20	\$24,738	\$25,000
2020/21	\$25,497	\$25,000
2021/22	\$25,656 (FYTD as at 18/05/22)	\$27,500
TOTAL	\$95,547	\$102,500

- You therefore have a total of **\$6,953** in concessional contributions available to you for the remainder of this financial year.

Recommendation:

- Tim and Emma, continue to salary sacrifice as you have been doing and consider making any additional concessional contributions required to meet the concessional contribution caps (including catch up contributions available).

Benefits:

- Personal concessional contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Your personal concessional contributions will be taxed at a maximum of 15% compared to the 39% for Tim and 34.5% for Emma if taken as income.

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Inheritance Proceeds:

- Tim and Emma, you are due to receive approximately \$350k from Tim's father's estate and plan to use \$100k to improve/update your residential property and \$100k to purchase a Jensen Interceptor vehicle. In this case, you would have surplus cash of \$150k.
- You seek advice with respect to the best use of these funds.

Recommendation:

- Based on the projections provided later in this document, it may be more beneficial to use the redraw available within your home loan for the purchase of the Jensen Interceptor and utilise the balance of the inheritance proceeds for non-concessional superannuation contributions.
- In light of the fact that superannuation is a tax effective environment to hold investment assets, we recommend Tim make a non-concessional superannuation contribution of \$250,000 using the "bring forward rule" (this contribution remains within the contribution caps detailed in the 'Superannuation Contribution Limits' section).

Benefits:

- As Tim will be retiring five years prior to Emma, by contributing the proceeds to Tim's superannuation fund, you will have a greater portion of your retirement capital in pension phase earlier than if the proceeds were contributed to Emma's superannuation fund.
- Any assets held within the fund are effectively being held in the most tax effective environment.
- The returns on balances held within superannuation and invested should be higher than the current returns on cash held in bank deposits.

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Superannuation Contributions v Debt Repayment

- You have investment property loans totalling approximately \$337,954.
- The interest rate on these loans is approximately 2.49% p.a.
- You are awaiting inheritance proceeds of \$350,000 whereby \$250,000 will be surplus cash.
- The options available to you are:
 - **Focus on paying down debt / hold these monies in an offset account**
 - **Direct surplus funds into superannuation rather than pay down debt**

Option A – pay down debt by \$250k

- By reducing the principal by this amount, the benefit this provides to you may be calculated as follows:

Interest saved on \$250,000 @ 2.49% = \$6,225 p.a.

The total cost at this interest rate over a 10-year period is **\$62,250**.

Option B – direct \$250,000 into superannuation

- By directing these monies into superannuation, the monies will then be invested within superannuation.
- Using a conservative average superannuation return of 6% p.a., the \$250,000 is projected to be valued at **\$477,712**.

Recommendation:

- Tim and Emma, we suggest directing surplus monies into superannuation via the contribution strategy previous detailed, rather than directing these towards reducing / offsetting your debt.

Basis of Recommendation:

- The growth rate within superannuation is anticipated to exceed the interest you will incur on the borrowed funds (predominantly due to record low interest rates currently available).
- You will be building assets in what will ultimately be a tax-free environment (superannuation when in pension phase).

Investments Currently Outside of Superannuation

Tim and Emma, you currently have an investment property owned outside of superannuation. This is owned as Tenants In Common (99% Tim and 1% Emma).

- The investment property located in Prahran is valued at approximately \$400,000 with associated investment debts of approximately \$236,176 secured against the investment property and \$101,778 secured against the Malvern East residential property (total debt of \$337,954).
- You purchased the property in 2012 for \$405,000.
- Both investment loans are principal and interest at a rate of 2.49% p.a. with Westpac
- The property provides rental income of \$8,400 per annum (after costs)

Recommendation:

- Tim and Emma, given the property has not appeared to appreciate in value (with little historical capital growth rate) we suggest that you consider:
 - a) Selling your investment property
 - b) Contribute the surplus funds (after repayment of the investment property loan) to superannuation via a non-concessional contribution.

Investment Structures & Associated Retirement Projections:

Assumptions:

- **10-year period projections**
- Superannuation capital increases by 6.0% p.a.
- Capital value of residential property increases at 5.0% p.a.
- Capital value of the investment property increases at 2.5% p.a.
- Investment property repayments are principal and interest.
- Emma, you will remain employed for the 10-year projection.
- Tim, you will retire at the end of 5 years and commence an income stream of \$50k per annum from your CFS Wholesale Allocated Pension account.
- Once the loan has been paid to zero, the equivalent in excess cash (\$26,458) will be invested into superannuation.

Current Position:

Total Super Capital:	\$302,218
Total Net Investment Capital (outside superannuation):	\$62,046
Net Retirement Capital:	\$364,464
Total Assets:	\$3,384,464

Scenario 1:

- Retain current position and do nothing:

Total Super Capital:	\$725,514
Total Net Investment Capital (outside superannuation):	\$412,202
Net Retirement Capital:	\$1,137,716
Total Assets:	\$5,822,727

Scenario 2A:

- Implement Super Recommendations.
- Invest \$250k of inheritance proceeds into superannuation.
- Increase home loan debt by \$100k to acquire Jensen Interceptor.

Total Super Capital:	\$1,191,519
Total Net Investment Capital (outside superannuation):	\$412,202
Net Retirement Capital:	\$1,603,721
Total Assets:	\$6,210,138

Scenario 2B:

- Implement Super Recommendations.
- Invest \$150k of inheritance proceeds into superannuation.
- Purchase Jensen Interceptor with \$100k of inheritance proceeds.

Total Super Capital:	\$1,012,434
Total Net Investment Capital (outside superannuation):	\$412,202
Net Retirement Capital:	\$1,424,636
Total Assets:	\$6,109,647

Scenario 2C:

- Implement Super Recommendations.
- Do NOT purchase Jensen Interceptor.
- Invest \$250k of inheritance proceeds into superannuation.

Total Super Capital:	\$1,191,519
Total Net Investment Capital (outside superannuation):	\$412,202
Net Retirement Capital:	\$1,603,721
Total Assets:	\$6,288,732

Scenario 3A:

- Implement Super Recommendations.
- Use \$250k of inheritance proceeds to pay down debt on investment property.
- Increase home loan debt by \$100k to acquire Jensen Interceptor.
- (Once the investment loan debt has been paid to zero, the excess cash of \$26,458 each year will be contributed into super)

Total Super Capital:	\$889,067
Total Net Investment Capital (outside superannuation):	\$512,033
Net Retirement Capital:	\$1,401,099
Total Assets:	\$6,007,517

Scenario 3B:

- Implement Super recommendations.
- Use \$150k of inheritance proceeds to pay down debt.
- Use \$100k of inheritance proceeds to purchase Jensen Interceptor.
- (Once the home loan debt has been paid to zero, the excess cash of \$26,458 each year will be contributed into super)

Total Super Capital:	\$795,397
Total Net Investment Capital (outside superannuation):	\$512,033
Net Retirement Capital:	\$1,307,431
Total Assets:	\$5,992,443

Scenario 4:

- Sell investment property and contribute proceeds into superannuation.
- Contribute \$250k of inheritance proceeds into superannuation.
- Excess cash of \$26,458 that was used for paying down the loan will now be contributed into superannuation via a non-concessional contribution.
- Increase home loan debt by \$100k to purchase Jensen Interceptor.

Total Super Capital:	\$1,501,109
Total Net Investment Capital (outside superannuation):	\$0
Net Retirement Capital:	\$1,501,109
Total Assets:	\$6,107,526

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice

Based on these Superannuation Capital projections, the following returns would need to be achieved in order for you to satisfy specific annual retirement incomes without eroding any capital.

Scenario	Projected Retirement Capital	Retirement Income Required	Required Annual Return on Capital
1	\$1,137,716	\$80,000	7.03%
		\$100,000	8.79%
		\$120,000	10.55%
2A	\$1,603,721	\$80,000	4.99%
		\$100,000	6.24%
		\$120,000	7.48%
2B	\$1,424,636	\$80,000	5.62%
		\$100,000	7.02%
		\$120,000	8.42%
2C	\$1,603,721	\$80,000	4.99%
		\$100,000	6.24%
		\$120,000	7.48%
3A	\$1,401,099	\$80,000	5.71%
		\$100,000	7.14%
		\$120,000	8.56%
3B	\$1,307,431	\$80,000	6.12%
		\$100,000	7.65%
		\$120,000	9.18%
4	\$1,501,109	\$80,000	5.33%
		\$100,000	6.66%
		\$120,000	7.99%

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of \$3,500+GST, which will be invoiced to you.

Upfront and Ongoing Fee Disclosure

An Adviser Service Fee of \$750 p.a. will apply to any Colonial FirstChoice investments implemented. This is generally paid until the investment is redeemed. The actual amount will vary over time according to the mix of the underlying investments and the total value of your funds under management. The actual amount will be dependent on the investment options implemented.

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements (if applicable)
- Contact us if you have any questions
- Tell us immediately if any information is incorrect

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.